

Comparative Investment Analysis

LVMH · Kering · Hermès — diagnosis, valuation, risk, recommendation

Steeven DOSSOU-YOVO · Personal project · September 2026

FY2020-2025 + H1 2026 · IFRS · Primary sources

Personal analysis — not investment advice.

1 • Company profiles

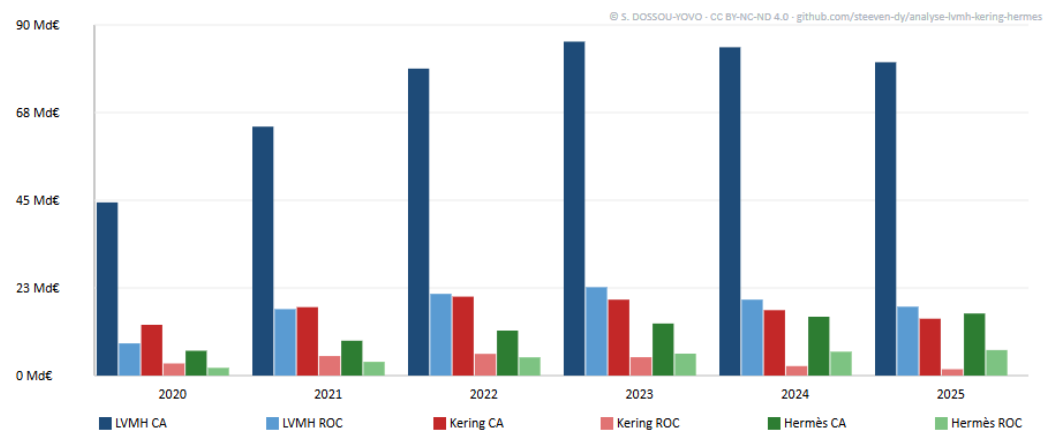
LVMH: world luxury leader (Fashion-Leather largest division). Kering: luxury (Gucci ~38% of sales, Jewellery, Eyewear). Hermès: absolute luxury, Leather ~50% of sales, integrated craftsmanship. All listed in Paris (CAC 40), IFRS accounts.

Project question: why does one create value while another destroys it?

2 • Business and sector

2020-2025 revenue CAGR: LVMH +12.6%, Hermès +20.2%, Kering +2.3%. H1 2026: uneven recovery (+2%/+1%/+6.1%). 2025 margins: 22.0%/11.1%/41.0%. 2024-2026 luxury de-rating: soft China, FX headwinds, post-Covid normalisation.

CA et ROC 2020-2025 (M€)

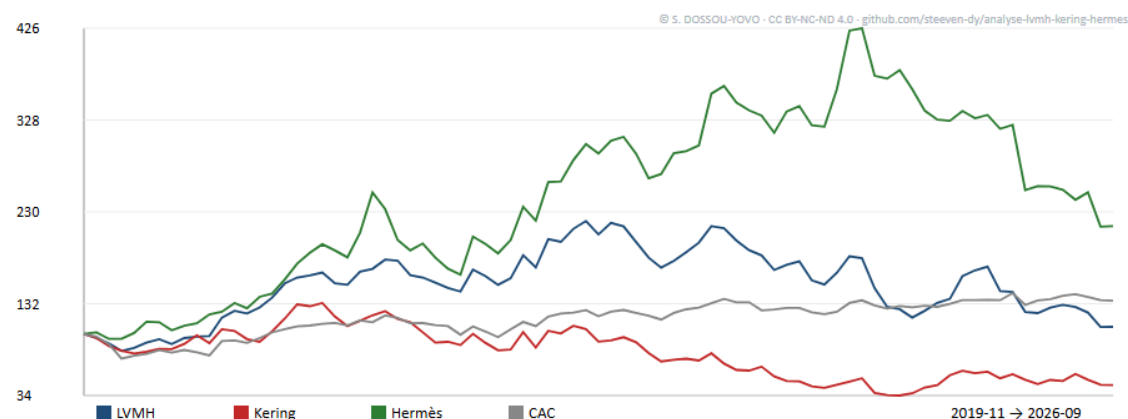


Projet analyse comparative — données : Yahoo Finance, FRED, documents primaires. Généré le 2026-09-27.
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3 • Financial performance

2025 net income: €10,878m / €72m / €4,524m. EVA: +€2,958m / –€1,455m / +€2,986m — the exact measure of the question. 2025 TSR: –20.4%/+5.4%/–24.9%: falling prices mean multiple compression, not operating decay (except Kering).

Cours normalisés base 100 (2019-11 → 2026-09)

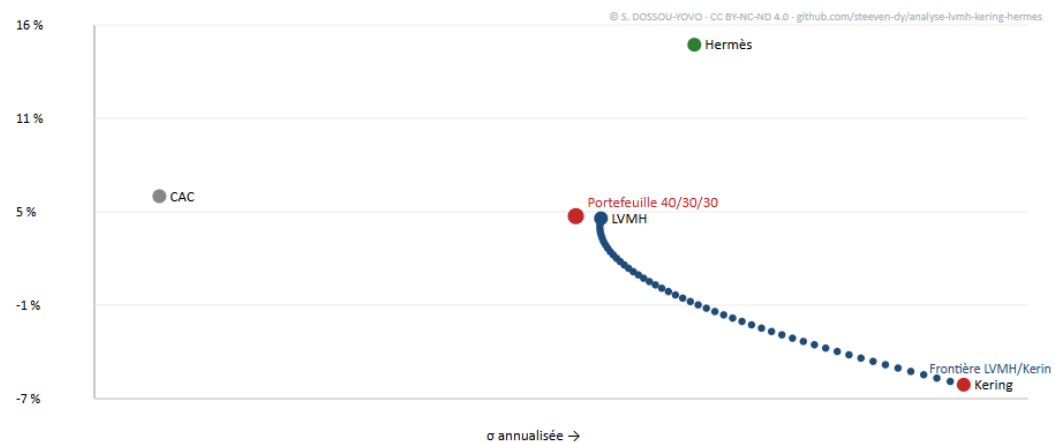


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4 • Share performance vs market

Annualised $E(R)/\sigma$: LVMH 4.52%/26.57%, Kering -5.69%/34.25%, Hermès 15.19%/28.55%, CAC 5.88%/17.22%. β : 1.133/1.100/0.883.
Hermès alone relatively defensive.

Risque-rendement + frontière LVMH/Kering

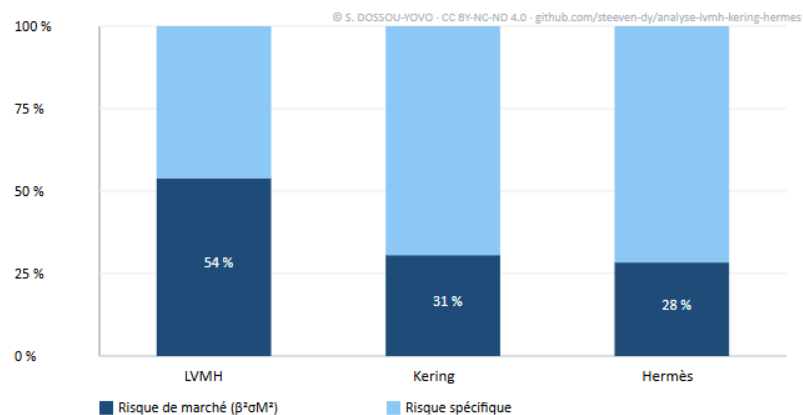


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5 • Single-stock risk: CV, Sharpe, split

CV: Hermès 6.51 (lowest, selected); Kering n.m. ($E(R) < 0$ — criterion not interpretable). Sharpe: 0.414/−0.265/0.043. Market-risk share: 54% (LVMH — most market-driven) / 31% / 28%.

Décomposition du risque : marché vs spécifique



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6 • Pricing risk: CAPM + Jensen

Stock	Re	E(R)	Jensen α	Reading
LVMH	9.04%	4.52%	-4.51%	overvalued
Kering	8.87%	-5.69%	-14.57%	overvalued
Hermès	7.79%	15.19%	+7.40%	undervalued

Only market risk is priced; specific risk diversifies. Jensen judges the past, DCF prices the future.

7 · Portfolio: covariance and pair

All covariances positive; correlations 0.748/0.716/**0.525 (Kering-Hermès, preferred)**. No textbook offsetting. 40/30/30 portfolio $\beta = 1.048$.
Reminder: 3 stocks reduce risk, they don't remove it (effective beyond ~30 names).

7bis · The 3 pairs at 50/50 (pp.106-107)

50/50 pair	E(Rp)	σ_p	Gain
Kering-Hermès ($\rho=0.525$)	4.75%	27.45%	-12.6%
LVMH-Kering ($\rho=0.748$)	-0.59%	28.46%	-6.4%
LVMH-Hermès ($\rho=0.716$)	9.85%	25.53%	-7.4%

Least correlated gives the largest relative gain — but not the lowest absolute risk (LVMH-Hermès: 25.53%).

8 • Portfolio vs ETF: active or passive?

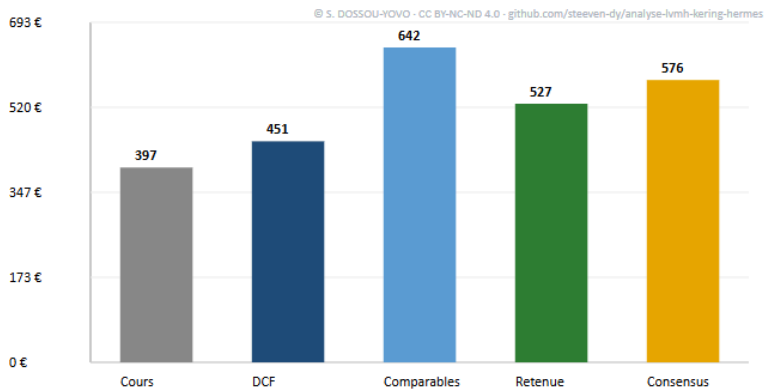
	$E(R_p)$	σ_p	Sharpe
Active 40/30/30	4.66%	26.04%	0.050
CAC 40 ETF	5.88%	17.22%	0.146

Over the window, passive wins. Active needs documented conviction (H1 2026 recovery, 37-42% discounts) and a long horizon — bottom-up value, dynamic profile.

9 • Valuation: DCF, multiples, retained

DCF: €450.77 (+13.5%) / €354.70 (+57.1% normalised) / €950.46 (−29.8%). Comps: 37%/9%/42% discounts vs own history. **Retained (0.6 DCF + 0.4 comps): €527.26 (+32.8%) / €312.80 (+38.6%) / €1,475.81 (+9.0%).**

LVMH — waterfall de valorisation (€/action)



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10 · Recommendation (1/2)

Hermès — hold/add on weakness: absolute quality (53.5% ROIC, net cash), demanding price.

LVMH — buy: quality + upside, most balanced (sound structure, €13 dividend, Q2 recovery).

11 · Recommendation (2/2)

Kering — sized speculative buy: upside conditional on turnaround (Gucci, margin, debt €8,039m → €3,300m), quarterly watch — if Q3-Q4 disappoints, the normalised case falls.

Modes: cautious → ETF; balanced → LVMH+Hermès; dynamic → + sized Kering, long horizon.

12 · Assumptions, limits, tools

Rf 3.37%, 5% premium (documented, 3-7%), 25% tax, 2% g, documented FCFF, normalised Kering. Limits: scenarios not guaranteed, drawdown window, debt ex-leases. Living tool: offline simulator (5 tabs, flagged inputs, scenarios). Traceability: sources.md.